Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

CM203 - FINANCIAL ACCOUNTING - II

Time: 3 hrs **Max Marks: 75**

SECTION - A (10x2=20)

Answer ALL the questions

1) What is loss of profit policy?
2) What is standard turnover?
3) Give any two differences between branch and departments.
4) Mention the types of branch accounts.
5) What is meant by direct expenses in departmental accounts?
6) Why general profit and loss account is prepared in departmental accounts?
7) X and Y are partners sharing profits and losses in the ratio 3:2. Z is admitted for a fifth share. The goodwill of the firm is Rs. 12,500. Z was unable to bring his share of goodwill in cash. Pass journal entry.
8) X, Y and Z are partners in a firm sharing in the ratio of 4:3;2. respectively and Y retires. X and Z agree to share the future profits in the ratio of 5:3 Find out the gaining ratio.
9) Mention the circumstances in which the firm may be dissolved?
10) Mention the accounting procedure involved in the case of dissolution.

SECTION – B (5X5=25)

Answer any FIVE questions

11) A fire occurred on 25-4-2006 in the premises of Mr. Ramesh. From the following data ascertain the claim to be lodged.

Stock on 1-1-2006	Rs. 2,50,000
Purchase from 1-1-2006 to the date of fire	Rs. 10,00,000
Wages	Rs. 2,00,000
Manufacturing expenses	Rs. 1,00,000
Sales from 1-1-2006 to the date of fire	Rs. 15,00,000
The rate of Gross profit	15%
The value of stock salvaged	Rs. 50,000
Insurance policy	Rs. 2,00,000

12) A Salem Head office has a branch at Madurai to which goods are invoiced at cost plus 20 percent. From the details prepare branch account in the H.O books.

Goods sent to branch	2,11,872	Debtors on 1-1-96	24,000
Cash sales	1,10,400	Stock on 1-1-96	7,680
Credit sales	96,000	Stock on 31-12-96	13,440
Cash received from debtors	88,000		

13) Explain the differences between branch and departmental accounts.

14) Mr. Ram the owner of a departmental store decided to calculate separate profits for the first two departments X and Y for the month ending 31-01-2000.

Stock on 31 January could not be valued for some unavoidable reasons but his rate of gross profit (calculated without reference to direct expenses) on sales for the two departments are 40 and 30 percent. The following figures are given.

Particulars	Dept X (Rs)	Dept Y (Rs)
Stock on 1-1-2000	9,000	8,400
Sales	42,000	36,000
Purchases	27,000	21,600
Direct expenses	5,490	8,520

Indirect expenses for the whole business (containing 5 departments) are Rs.10,800 which are to be charged in proportion to department sales, except as to one-sixth ,which is to be divided equally. Sales for remaining three departments were Rs.1,02,000. Prepare a statement showing profits for the two departments X and Y.

15. A firm had two departments cloth and Readymade garments. The Garments were made by the firm itself out of cloth supplied by the cloth department at its usual selling price. Prepare departmental trading accounts and profit and loss a/c for the year ended 31-3-2008.

Opening stock	3,00,000	50,000
Purchases	20,00,000	15,000
Sales	22,00,000	4,50,000
Transfer to Readymade garments department	3,00,000	--
Expenses - Manufacturing	--	60,000
Expenses - selling	20,000	6,000
Closing stock-31-3-2008	2,00,000	60,000

The stock in the readymade department consisting of 75% cloth and 25% other expenses. The cloth department earned a gross profit of 15% in 2006-07.General expenses of the business as a whole came to Rs.1,10,000.

16) L and M are partners of a firm sharing the profits and losses in the ratio of 13:7.They admitted N as a new partner and the new profit ratio became 5:3:2.N brings Rs.9,00,000 as capital and Rs.1,50000 as goodwill. Pass journal entries to record the transactions.

17) Following is the Balance Sheet of A,B and C & co,as on 31-3-1999 where A,B and C are partners sharing in the ratio of 2:2:1. The firm was dissolved on the above date.

Balance sheet			
Creditors	1,20,000	Cash	1,000
Bank loan	50,000	Stock	60,000
Capital – A	30,000	Other assets	1,09,000
Capital - B	20,000	Goodwill	30,000
		Capital of C	20,000
	2,20,000		2,20,000

Stock realized Rs.52,000. Other assets were sold for Rs.90,000.Expenses of realization amounted to Rs.3000. prepare Relisation account.

SECTION – C (3X10=30)

Answer any THREE questions

18) A fire occurred at the premises of a trader on May 31, destroying a great part of his stock which, on January 1, appeared in the books at Rs. 60,000. The value of the stock salvaged was Rs. 13,500. The gross profit on sales was 30% and sales amounted to Rs. 1,53,000 from January to date of fire, while for the same period, the purchases amounted to Rs. 1,08,500.

Prepare a statement of claim for submission to the Insurance Company.

19) From the following information ascertain the sales to the customers of the branch on credit and prepare the branch account in the books of H.O for the year ended 31-12-1992. All expenses are paid by the Head office.

Stock on 31-12-1992	90,000
Stock on 1-1-92	60,000
Debtors on 1-1-92	40,000
Debtors on 31-12-92	60,000
Cash sales remitted to H.O	1,50,000
. Cash collected from DRS and remitted to H.O.	1,60,000
Goods invoiced to branch	3,60,000
Rent	3,000
Salary	6,000
Goods returned to H.O.	6,000
petty cash on 1-1-92Petty	100
cash on 31-12-92	50
sale of Gunny bags	200

Goods are invoiced at 20% above the cost by the H.O

20) Explain various expenses and their basis of allocation in departmental accounting.

21) Tall, Long and Short were partners sharing profit in the proportion of 4 : 3 : 2 respectively. Their Balance sheet as at 31st March 2007 respectively:

Liabilities	Rs.	Assets	Rs.
Capital:		Goodwill	12,000
Tall - 60,000		Other assets	1,88,000
Long - 50,000			
Short - 40,000	1,50,000		
Other liabilities	50,000		
	2,00,000		2,00,000

Tall retired on 1.4.2007 on which date the Goodwill of the firm was estimated at Rs. 21,000. How will you deal with it in the books of the firm?

22) X,Y and Z share the profits of a firm in the ratio of 3:2:1 respectively. Show how the proceeds should be distributed as and when received by following the proportionate capital methods. On the date of dissolution, their balance sheet stood as follows :

Liabilities	Rs.	Assets	Rs.
Creditors	15,000	Cash in hand	10,000
Bills payable	5,000	Sundry assets	50,000
X Capital	20,000	Profit @ Loss A/C	6,000
Y Capital	10,000		
Z Capital	16,000		
	66,000		66,000

The assets realized I installment Rs.16,000 : Second installment – Rs.16,000 and last installment-Rs.3,000.

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